

EXEMPTIONS & DEDUCTIONS

Lets us begin with the various sections of the Income Tax Act that offers deductions to the citizens currently. Numerous tax benefits are offered by the government. However, for simplicity, we have listed down the most useful exemptions and deductions. We have categorized them in groups. These tax benefits may have more technicalities so you might need a tax expert's help at some places. However, this section will educate about the various tax benefits that you can use and hence, make a plan keeping in mind such benefits.

1 STANDARD DEDUCTION

Standard deduction is one of the most commonly used tax benefits. As of writing (FY21), the standard deduction in India is Rs. 50,000. This is a standard benefit provided exclusively to anyone who is a salaried person or is a pensioner, and the government does not bother with the avenue on which the money has been spent. Naturally, self-employed individuals are not allowed to benefit from this. Those who qualify for this benefit can seek a deduction in their taxable income of up to Rs. 50,000. This money reduces their taxable income and also tax liability. The amount for the same keeps on changing so we need to keep a constant track of the same.



TAX WITH TAX BENEFIT

Earned Income	10,30,000
Less: Standard Deduction	50,000
Taxable Income	9,80,000
Tax Based on Slabs	1,08,500
Add: Cess	4,340
Total Tax Liability	1,12,840

TAX WITHOUT TAX BENEFIT

Earned Income	10,30,000
Tax Based on Slabs	1,21,500
Add: Cess	4,860
Total Tax Liability	1,26,360

